

1.6 NOMINAL AND REAL GDP

Multiple Choice Questions

1990/CE/II/53

Refer to the table below:

Year	Real GDP (\$Mn)	Nominal GDP (\$Mn)
1985	150	180
1982	120	120

What is the GDP deflator in 1985?

- A. 100
- B. 120
- C. 150
- D. 180

1990/CE/II/56

When both the price level and the money income level of a society rise,

- A. the living standard will drop because the value of money decreases.
- B. the living standard will rise because the citizens have more money to spend.
- C. the living standard will not change because the rise in income is offset by the rise in price.
- D. the effect on the living standard is not certain because the extent of both changes is unknown.

1991/CE/II/59

	Growth rate of GDP in 1990
At current market prices	15.2%
At constant (1980) market prices	11.9%

The above data do **NOT** show an increase in the _____ in 1990.

- A. general price level
- B. nominal GDP
- C. real GDP
- D. labour productivity

1994/CE/II/33

For Question No. 33, consider the following data of an economy producing only bread and shirts:

	Price in 1992 (\$)	Price in 1993 (\$)	Output in 1993 (units)
Bread	10	12	50
Shirts	20	25	20

The GNP at constant (1992) market prices for 1993 is

- A. \$900.
- B. \$1 100.
- C. \$1 200.
- D. \$1 490.

1995/CE/II/34

If a country's real GNP and price level both increase by 5%, this implies that

- A. the standard of living will remain unchanged.
- B. the nominal GNP will rise by 5%.
- C. the nominal GNP has a greater percentage increase than the real GNP.
- D. the nominal GNP will remain constant.

1997/CE/II/23

The following are data of Country X.

Year	1992	1997
GDP	\$500 billion	\$700 billion
Price Index (1990 = 100)	120	135

The growth rate of real GDP from 1992 to 1997 is:

- A. 24.4%
- B. 28.6%
- C. 40.0%
- D. 57.5%

1998/CE/II/23

Suppose a closed economy produces food and clothing only. The outputs of Years 1 and 2 are as follows:

Year	Quantity of food (Unit)	Unit price of food (\$)	Quantity of clothing (Unit)	Unit price of clothing (\$)
1	20	4	40	12
2	15	10	35	30

From Year 1 to Year 2, the real gross national product (real GNP) of this country has (98.23)

- A. worsened because the price level increases.
- B. worsened because the output of both goods decreases.
- C. improved because the nominal GNP increases.
- D. improved because the technology advances.

1998/CE/II/29

Suppose a country experiences a 2% increase in the production volume of goods and services as well as a 3% rise in the general price level in a year. We can conclude that

- (1) the real GNP will increase by 2%.
- (2) the nominal GNP will increase by 2%.
- (3) the nominal GNP will increase by 3%.
- (4) the nominal GNP will increase more than the real GNP by 1%.

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (1), (3) and (4) only

1999/CE/II/25

Suppose the nominal GNP and the price level increase by 10% and 5% respectively, but the population decreases by 10%. Then the per capita nominal GNP will _____ and the per capita real GNP will _____.

- A. increase increase
- B. decrease decrease
- C. increase remain unchanged
- D. remain unchanged increase

2000/CE/II/36

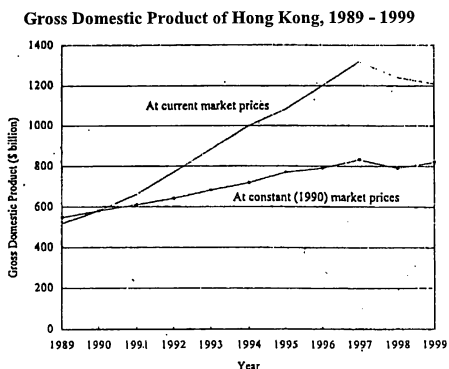
Year	GNP at current market prices (\$billion)	GNP deflator
1997	2 100	105
1998	2 800	125

Based on the above information, the growth rate of real gross national product (real GNP) between 1997 and 1998 is

- A. 12%.
- B. 16.3%
- C. 33.3%.
- D. There is insufficient information to find the answer.

2002/CE/II/30

Refer to the chart below.



Source: The Census and Statistics Department

From 1991 to 1998, GDP at current market prices is always greater than GDP at constant (1990) market prices because

- A. the inflation rate is increasing in this period.
- B. the real output level is rising in this period.
- C. the current price level is always higher than the price level of 1990.
- D. the inflation rate is higher than the real output growth rate.

2003/CE/II/28

Suppose the GDP deflator of an economy decreases from 100 to 90. This implies that

- A. its GDP decreases by 10%.
- B. the general price level decreases by 10%.
- C. people's real income increases by 10%.
- D. people's living standard decreases by 10%.

2003/CE/II/29

If both the nominal and real GDP of an economy are rising, the general price level of the economy

- A. is rising.
- B. is falling.
- C. remains unchanged.
- D. may be rising, falling or remain unchanged.

2005/CE/II/29

Study the following information about a country:

Year	Nominal GDP (in million dollars)	Price index
2003	75 000	90
2004	100 000	100

As compared to 2003, the _____ of this country was higher in 2004.

- A. general living standard
- B. real GDP
- C. consumption expenditure
- D. average income

2007/CE/II/32

Year	Nominal GDP (\$ billion)	Population (million)	Consumer Price Index
1	3 000	2	100
2	3 500	2.5	110

According to the above information, from Year 1 to Year 2, the economy's real GDP has _____ and the per capita nominal GDP has _____.

- A. increased decreased
- B. increased increased
- C. decreased decreased
- D. decreased increased

2008/CE/II/32

The following table shows the change in GDP from Year 1 to Year 2.

	Change
GDP at current market prices	+5.1%
GDP at constant market prices	+8.1%

We can conclude from the above data that the real output _____ and the general price level _____ in that period.

- A. increased decreased
- B. increased increased
- C. decreased increased
- D. decreased decreased

2009/CE/II/29

Refer to the following statistical data (in \$million) on an economy.

Year	GDP at current market prices	GDP at constant (2000) market prices
2007	142 900	134 200
2008	144 800	132 300

Compared with 2007, the general price level has _____ and the real output of goods and services has _____ in 2008.

- A. increased decreased
- B. increased increased
- C. decreased decreased
- D. decreased increased

Year	Year-on-year percentage change	
	GDP at current market prices	GDP at constant (2000) market prices
2007	9.5%	6.4%
2008	3.8%	2.4%

Based on the above information, we can conclude that in 2008,

- A. the general price level decreased.
- B. the real GDP decreased.
- C. the GDP deflator increased.
- D. the general living standard increased.

2012/DSE/II/23

Country A's general price level increases by 10% and its aggregate output and population drop by 2% and 10% respectively. As a result, Country A's nominal GDP will _____ and the per-capita real GDP will _____.

- A. rise rise
- B. rise fall
- C. remain unchanged rise
- D. remain unchanged fall

2015/DSE/II/25

Refer to the following table about an economy.

	Growth rate (relative to previous year) (%)	
	Year 1	Year 2
Nominal GDP	4	0
General price level	3	1
Population	-1	2

Which of the following statements about the economy is correct?

- A. The per capita nominal GDP in year 2 is the same as that in year 1.
- B. The real output increased in year 2.
- C. The general price level decreased in year 2.
- D. The per capita real GDP decreased in year 2.

2017/DSE/II/26

The following table shows some data of an economy.

	Growth rate	
	2015	2015
GDP	-3%	-2%
Price level	1%	0%
Population	4%	2%

Which of the following statements about the economy is correct?

- A. Real GDP in 2016 decreases.
- B. Per capita GDP in 2016 increases.
- C. The price level in 2016 decreases.
- D. The growth rate of real GDP in 2016 is lower than that in 2015.

2018/DSE/I/25

The following table shows the gross domestic product (GDP) data of an economy in a particular year:

GDP components	\$ billion
Capital consumption allowance	40
Net factor income from abroad	36
Production subsidies	14
Direct taxes	5
Indirect taxes	47

Which of the following statements about the economy are correct?

- (1) The GDP is smaller than the gross national income (GNI).
- (2) The GDP at market price is smaller than the GDP at factor cost.
- (3) Depreciation is positive in the economy.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/23

The following table shows the gross domestic product (GDP) data of an economy in a certain year.

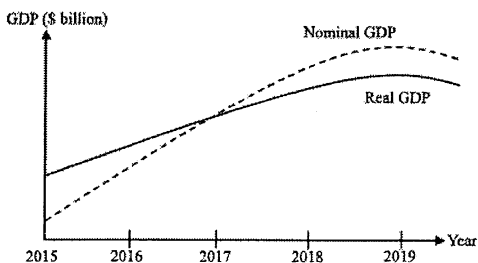
Change in real GDP	−2.6%
Change in nominal GDP	−1.3%
Change in population size	−1.8%

According to the information above, we can conclude that in that year, the price level _____ and the per capita nominal GDP _____.

- A. increased.....increased
- B. decreased.....decreased
- C. increased.....decreased
- D. decreased.....increased

2020/DSE/I/26

The following diagram shows the gross domestic product (GDP) of Country A.



Which of the following statements about Country A is correct?

- A. The price level increased between 2016 and 2018.
- B. Deflation occurred before 2017.
- C. The actual inflation rate was equal to the expected inflation rate in 2017.
- D. The nominal GDP has been increasing since 2016.

2021 DSE/I/24

Refer to the gross domestic product (GDP) data of an economy.

	Growth rate (relative to previous year)
Nominal GDP	0
Real GDP	-1.2%
Per-capita nominal GDP	-3.5%

Compared to the previous year, the general price level has _____ and population has _____ in the economy in the current year.

- A. increased ... increased
- B. increased ... decreased
- C. decreased ... increased
- D. decreased ... decreased

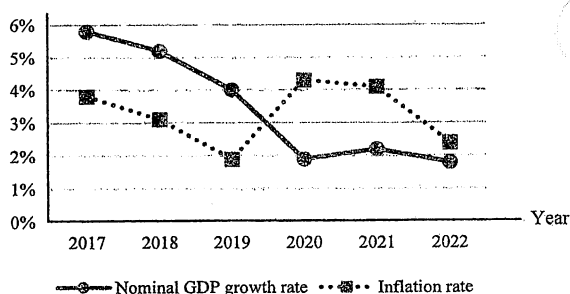
2022/DSE/I/26

Many workers in Country A emigrated to other countries. All the job vacancies resulting from the emigration were filled by unemployed people. As a result, the unemployment rate of Country A _____.

- A. would increase
- B. would decrease
- C. would remain unchanged
- D. cannot be determined

2024/DSE/I/25

The following diagram shows the nominal GDP growth rates and the inflation rates of an economy.



Based on the above information, we can conclude that from 2017 to 2022, _____ in the economy.

- (1) the real GDP increased in all consecutive years
- (2) the price level increased in all consecutive years
- (3) the nominal GDP growth rate was always higher than the real GDP growth rate

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short & Structured Questions

1990/CE/I/3(a)(iv)

The following are Hong Kong's Gross Domestic Product (GDP) components (at current prices) in 1988:

	<u>\$ Billion</u>
Private consumption expenditure	255
Government consumption expenditure	30
Gross domestic fixed capital formation	109
Increase in stocks	10
Domestic exports of goods	218
Re-exports of goods	275
Imports of goods	501
Exports of services	86
Imports of services	56

(The GDP deflator for 1980 = 100)

Apart from the above data (GDP at current prices for 1988 given as the above data), what other information is needed to calculate

- (I) Hong Kong's per capita GDP at current prices for 1988? (2 marks)
- (II) Hong Kong's GDP for 1988 at constant (1980) market prices? (2 marks)

1992/CE/I/5(a)

The national income of a country in 1991 is \$60 million.

- (ii) Given the price indexes for 1980 and 1991 were 100 and 150 respectively. Calculate the real national income for 1991 based on 1980 prices. (2 marks)
- (iii) Explain whether the nominal national income or the real national income is a better indicator of general living standard. (3 marks)

1996/CE/I/6

Year	Price index (yearly average)	Peter's salary
1994	120	\$ 10 000
1995	150	\$ 12 000

From the above data, explain whether Peter's real wage in 1995 has increased when compared to that in 1994. (3 marks)

2000/CE/I/6(b)

Study the following data about Hong Kong.

Year	Quarter	Year on year % change in real gross domestic product (GDP)	Unemployment rate (%)	Composite consumer price index
1998	2nd	-5.1	4.4	119.2
	3rd	-6.8	5.0	118.6
	4th	-5.7	5.7	116.1
1999	1st	-3.4	6.2	115.6

Some worker's salaries were frozen during this period of time. Explain how their real income would change in this period. (3 marks)

2002/CE/I/12(b)(ii)

In order to cut expenses, Mr Wong reduces the monthly salaries of the staff working in the bookstore. Explain whether the real income of his staff would necessarily fall during deflation. (5 marks)

2003/CE/I/5

The following table shows data concerning a certain country.

Year	1992	2002
Consumption Expenditure (\$ million)	2 500	2 679
Population (million)	5	6
Price Index	100	95

Based on the above data, explain in which year, 1992 or 2002, the country had a higher general living standard. Show your workings. (6 marks)

2004/CE/I/5

Refer to the following gross domestic product (GDP) data for Hong Kong.

Year	GDP at current market prices (HK\$ million)	GDP at constant (2000) market prices (HK\$ million)
2001	1 269 975	1 294 382
2002	1 259 771	1 323 650

- (a) Explain whether the real output level in 2001 is higher than that of 2002. (2 marks)
- (b) For both 2001 and 2002, explain why the GDP at current market prices is smaller than the GDP at constant market prices for the same year. (2 marks)

2007/CE/I/4(a)

The table below shows the gross domestic product (GDP) statistics of Hong Kong:

Year	GDP at current market prices	GDP at constant (2000) market prices	(HK\$ million)
			GDP deflator
2003	1 233 983	1 390 610	88.7
2004	1 291 568	1 510 182	85.5
2005	1 382 052	1 619 984	A

The value of A is _____.

(1 mark)

2009/CE/I/7(a)

Refer to the following statistical information on a country.

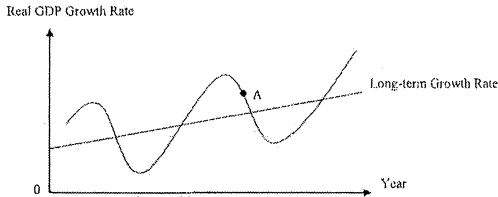
	Year 2000	Year 2008
Nominal gross domestic product (GDP) (\$ million)	16 000	24 840
Price index	100	115
Population (million)	10	12

Calculate the per capita real GDP for the years 2000 and 2003.

(2 marks)

2010/CE/I/7(c)

Refer to the business cycle shown below.



During this phase of the business cycle, the nominal wage rate of some workers was reduced. Explain whether their real wage rate must also have decreased. (3 marks)

2012/DSE/II/11(b)

Many workers have their salaries increased during inflation. Explain whether the real income of these workers would necessarily rise. (3 marks)

2024/DSE/II/5

Refer to the following statistical information of an economy.

Year	Nominal GDP (\$ million)	Year-on-year percentage change in implicit price deflator of GDP
2022	2 850 000	+3.8%
2023	2 800 000	+0.7%

- (a) Based on the above information, how did the real output of the economy change from 2022 to 2023? Explain your answer. (2 marks)
- (b) 'As the nominal GDP in 2023 decreased, the general living standard in the economy deteriorated during that period.' Suggest **TWO** reasons why this statement may be incorrect. (2 marks)
- (c) Suppose people did not expect any change in the general price level in 2023. A tenant signed a rental contract with a landlord in 2022 for a fixed monthly rental over a 3-year contractual period. Who, the tenant or the landlord, would gain when the above change in the general price level occurred in 2023? Explain. (2 marks)